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An Act Made to Provide for the Appropriation and Expenditure of Money from the Federal Consolidated Fund for the Services and Works of the Fiscal Year 2081/82

Preamble: Whereas it is expedient to appropriate money to be expended from the Federal Consolidated Fund for the services and works of the Fiscal Year 2081/82 and to authorize the expenditure thereof,

The Federal Parliament has enacted this Act. 1. Short Title and Commencement: (1) This Act may be cited as the "Appropriation Act, 2081".

(2) This Act shall commence from the 1st day of Shrawan of the year 2081. 2. Authority to Expend from the Federal Consolidated Fund for the Fiscal Year 2081/82: For the Fiscal Year 2081/82, excluding the amounts charged on the Federal Consolidated Fund as per Schedule-1, the total amount of Rs. 14,57,04,96,00,000/- (in words: Fourteen Kharab Fifty-Seven Arab Four Crore Ninety-Six Lakh Rupees) comprising the recurrent expenditure mentioned in Column 4, capital expenditure mentioned in Column 5, and financial arrangements mentioned in Column 6 of Schedule-2, for the services and works to be performed by the entity mentioned in Column 3 of the said Schedule, may be expended from the Federal Consolidated Fund as specified, not exceeding the total amount mentioned in Column 7. 3. Appropriation: The amount authorized to be expended from the Federal Consolidated Fund by this Act shall be appropriated for the services and works to be performed by the entity mentioned in Column 3 of Schedule-2 for the Fiscal Year 2081/82. 4. Provisions Relating to Authorization and Program Approval: (1) Notwithstanding anything written in the prevailing law, from the date of commencement of this Act, the authorized officer shall have the power to expend the appropriated amount subject to the prevailing law.

(2) Based on the authority to expend pursuant to Sub-section (1), the Office of the Treasury and Comptroller Control shall release the appropriated amount to the concerned entity.

(3) In case an amount is appropriated to one entity to be expended by more than one entity, the head of the entity to which the appropriation is made shall, within the end of Ashwin of the year 2081, allocate the entire appropriated amount source-wise to the entity that will expend it, including the outputs and deliverables to be achieved, and shall provide information thereof to the Government of Nepal, Ministry of Finance, and the concerned Office of the Treasury and Comptroller Control.

Provided that, if the concerned Accounting Officer requests, with reasonable grounds and reasons why the allocation cannot be made within that timeframe, the Government of Nepal, Ministry of Finance may, considering necessity and justification, allow allocation until the end of Poush of the year 2081. If the allocation is not made within such extended timeframe, the Government of Nepal, Ministry of Finance may

freeze such amount.

(4) The head of the entity receiving the amount from the allocation pursuant to Sub-section (3) shall be deemed to have received the authority to expend such amount.

(5) Notwithstanding anything written in the prevailing law, a program included in the Ministerial Budget Information System shall be considered an approved program for the purpose of budget implementation. 5. Provisions Relating to Transfer/Reallocation and Source Transfer: (1) If it appears that there will be a saving in any grant code and a deficit in another grant code out of the amount appropriated for the services and works to be performed by the entity mentioned in Column 3 of Schedule-2 pursuant to Section 3, the Government of Nepal, Ministry of Finance may transfer/reallocate funds from the grant code with savings to the grant code with deficit.

(2) While making a transfer/reallocation pursuant to Sub-section (1), funds may be transferred from one or more grant codes to another one or more grant codes, recorded for release and expenditure, and transferred from one source to another to bear the expenditure of recurrent and capital expenditure and financial arrangements, provided that such transfer/reallocation does not exceed ten percent of the total appropriated amount.

Provided that,

(a) Any amount may be transferred/reallocated among budget sub-heads within the same grant code.

(b) The amount appropriated under the capital expenditure heading shall not be transferred/reallocated to other recurrent expenditure headings except for the financial investment under financial arrangements and the principal and interest payment expenditure heading for internal and external loans.

(c) The amount appropriated under financial arrangements shall not be transferred/reallocated to other recurrent expenditure headings except for the principal and interest payment expenditure heading for internal and external loans, and the amount appropriated under financial arrangements for the principal payment expenditure heading for internal and external loans shall not be transferred/reallocated elsewhere except for the interest payment expenditure heading.

(3) Financial Equalization Grant amounts appropriated under grant codes 701 and 801 for the province or local level shall not be transferred/reallocated to other grant codes.

(4) Notwithstanding anything written in Sub-sections (1), (2), and (3), for the amount appropriated under grant codes 601 and 602, there shall be no bar to transferring/reallocating the amount to the same grant code from which the release and expenditure will take place and to recording the release and expenditure.

(5) If any project or program included in the Ministerial Budget Information System needs to be revised, the concerned entity may revise it with the consent of the Government of Nepal, Ministry of Finance. Provided that, if an activity within the same expenditure heading under an approved project or program needs to be revised or an activity needs to be changed, the concerned Accounting Officer may do so, without changing the source, based on necessity and justification, within the month of Poush.

(6) If the concerned Accounting Officer needs to revise a project or program or transfer/reallocate funds, subject to Sub-section (2) of Section 20 of the Economic Procedure and Fiscal Responsibility Act, 2076, the officer may transfer/reallocate funds up to twenty-five percent of the initial appropriation of the additional expenditure heading, without changing the source.

(7) If the Accounting Officer of the concerned entity needs to revise a program or transfer/reallocate funds pursuant to Sub-section (6), the program revision or transfer/reallocation must be made under the following expenditure codes (inter-economic codes):

S.N.

Expenditure Code Expenditure Heading

- 1 22111 Fuel (Officials)
- 2 22112 Fuel (Office Purposes)
- 3 22113 Vehicle Maintenance Expenses
- 4 22114 Insurance and Renewal Expenses
- 5 22221 Machinery and Tools Maintenance, Repair and Operation Expenses
- 6 22231 Maintenance and Repair Expenses of Constructed Public Property
- 7 22291 Operation and Maintenance Expenses of Other Property
- 8 22311 Stationery and Office Supplies
- 9 22312 Animal Feed
- 10 22313 Books and Material Expenses
- 11 22314 Fuel-Other Purposes
- 12 22315 Newspapers, Printing and Information Publication Expenses
- 13 22319 Other Office Operation Expenses
- 14 22511 Employee Training Expenses
- 15 22512 Skill Development and Public Awareness Training and Workshop Related Expenses
- 16 22521 Production Material/Service Expenses
- 17 22611 Monitoring, Evaluation Expenses
- 18 22612 Travel Expenses
- 19 22619 Other Travel Expenses
- 20 22711 Miscellaneous Expenses

(8) Notwithstanding anything written elsewhere in this Section, if the amount of the same expenditure heading allocated to more than one budget sub-head within the same grant code needs to be reduced from one budget sub-head and added to another budget sub-head, and if the amount of the same expenditure heading under the same budget sub-head needs to be reduced from one entity and added to another entity, the Accounting Officer of the concerned entity may make fund transfers and program revisions by freezing it in the Ministerial Budget Information System (without changing activities accordingly), remaining within the approved staffing level for the expenditure heading:

S.N. Expenditure Code Expenditure Heading

- 1 21111 Salary Employee
- 2 21112 Salary Official
- 3 21121 Uniform Allowance
- 4 21122 Food Allowance
- 5 21123 Medical Treatment Expenses
- 6 21131 Local Allowance
- 7 21132 Dearness Allowance
- 8 21142 Officials Other Facilities
- 9 21212 Contribution Based Retirement and Gratuity Fund Expenses

10 21213 Contribution Based Insurance Fund Expenses

11 21222 Officials' Contribution Based Retirement and Gratuity Fund Expenses

(9) Notwithstanding anything written in the prevailing law, the concerned Accounting Officer shall not be allowed to transfer/reallocate funds to an expenditure code or new activity for which no initial appropriation was made during the first quarterly period of the fiscal year and in the month of Ashadh. 6.

Provisions Relating to Inter-Governmental Fiscal Transfers: (1) The amount of grant code 701 shall be transferred to the Provincial Consolidated Fund as a grant for the province to expend in accordance with the law. (2) The amount of grant code 801 shall be transferred to the Local Consolidated Fund as a grant for the local level to expend in accordance with the law. (3) Out of the amount referred to in Sub-sections (1) and (2), an amount equal to one-fourth of the Financial Equalization Grant shall be transferred by the Office of the Controller General to the concerned Consolidated Fund in four installments, on the 2nd of Bhadra, 2nd of Kartik, 2nd of Magh, and 2nd of Baishakh of each year. (4) While making the transfer pursuant to Sub-section (3), the Equalization Grant shall be determined based on the ratio of the revenue target up to the end of Poush and the revenue collected during that period, and accordingly transferred as the third installment; and the Equalization Grant shall be re-determined based on the revenue target up to the end of Chaitra and the revenue collected during that period, and transferred as the fourth installment. (5) Out of the grant amount pursuant to Sub-sections (1) and (2), an amount equal to one-third of the conditional grant amount shall be transferred by the Office of the Controller General to the Consolidated Fund of the concerned province or local level within the 2nd of Bhadra of each year. (6) The province or local level shall submit to the concerned Office of the Treasury and Comptroller Control, by the end of Shrawan, an action plan including the implementation period, implementation process, expenditure estimate, monthly cash flow details, and the revenue and expenditure estimate passed by the concerned Provincial Assembly, Village Assembly or Municipal Assembly, for the amount transferred as conditional grant, so that it is expended only for the plan or program of the subject area for which it was received. (7) The province or local level shall submit details of the physical progress of the action plan and the amount expended pursuant to Sub-section (6) to the concerned Office of the Treasury and Comptroller Control by the 15th of Mangsir, 15th of Chaitra, and 15th of Ashadh of each fiscal year, and the annual financial statement by the end of Shrawan of the following fiscal year. (8) Based on the expenditure details pursuant to Sub-section (7), the Office of the Controller General shall adjust the amount of the conditional grant transferred to the province or local level pursuant to Sub-section (6) and transfer the remaining amount as reimbursement by the 25th of Mangsir, 25th of Chaitra, and 25th of Ashadh. (9) The Office of the Controller General shall transfer the complementary and special grant amounts to the province or local level as per the procedure approved by the Government of Nepal.

7. Special Provisions Relating to Implementation of Projects or Programs: (1) If any project or program for which funds have been appropriated to be implemented by an agency of the Government of Nepal under this Act needs to be implemented through a province or local level, the concerned Ministry of the Government of Nepal shall make a decision to implement the program through the province or local level.

(2) Notwithstanding anything written in this Act or other prevailing law, if a province or local level deems it necessary to implement any capital project or program included in its budget and program through the concerned office of the Government of Nepal, it may, with the approval of the concerned Ministry of the Government of Nepal and the Ministry of Finance, Government of Nepal, decide to implement such project or program through the concerned office of the Government of Nepal.

(3) Information of the decision pursuant to Sub-sections (1) and (2) shall be provided to the concerned

Ministry of the Government of Nepal, the Office of the Controller General, the concerned province or local level, the concerned Office of the Treasury and Comptroller Control, and the concerned Provincial Comptroller Office.

(4) Upon receipt of the decision for implementation by the province or local level pursuant to Sub-section (1), the concerned Office of the Treasury and Comptroller Control shall consider that decision as the authority to expend and shall assign an office code in the Ministerial Budget Information System as a federal entity to the office of the concerned province or local level within the Single Account Treasury System of the Government of Nepal, and release funds from that same code in accordance with prevailing federal law.

(5) Upon receipt of the decision to implement the project or program through the concerned office of the Government of Nepal pursuant to Sub-section (2), in the case of a provincial project or program, the Provincial Comptroller Office or Provincial Accounting Unit Office shall consider that decision as the authority to expend and shall assign an office code as a provincial entity to the concerned office of the Government of Nepal within the concerned Provincial Ministerial Budget Information System, and release funds.

(6) If a decision is made to implement a local level project or program through the concerned office of the Government of Nepal pursuant to Sub-section (2), the local level shall release the funds to be deposited into the miscellaneous account in the name of the federal entity at the concerned Office of the Treasury and Comptroller Control.

(7) The Ministry dealing with economic affairs of the province may transfer funds or revise programs by adding or reducing budgets from one project to another project included in the approved annual program that has been financially transferred as a conditional grant in the Provincial Line Ministry Budget Information System (PLMBIS).

Provided that, while making fund transfers or program revisions, it must be done with the consent of the thematic Ministry of the Government of Nepal, ensuring that the area and main objective of the approved annual program are not changed.

(8) If, during budget formulation for the fiscal year, a lump-sum financial transfer has been made for some programs, and if the thematic Ministry of the Government of Nepal has stipulated, by any criteria or procedure, that the conditional project or program must be implemented accordingly, it shall be done accordingly; and if no criteria or procedure exists, the Provincial Ministry dealing with economic affairs may, with the consent of the concerned thematic Ministry of the Government of Nepal, allocate and transfer funds within the end of Poush of the year 2081, ensuring that the objective of such lump-sum program is not affected. If the allocation is not made within that timeframe, the Government of Nepal, Ministry of Finance may freeze such amount.

(9) For the transfer/reallocation of funds or program revision in the conditional grant project or program pursuant to Sub-sections (7) and (8), the concerned Ministry of the province may submit an entry through the Budget Information System (LMIS) to the thematic Ministry of the Government of Nepal, and after fund transfer and program revision, the fund transfer may be updated in the Provincial Line Ministry Budget Information System (PLMBIS) with the consent of the Government of Nepal, Ministry of Finance.

(10) In the case of provincial projects or programs based on special grants and complementary grants, if allocation is required for budget implementation, the Ministry of Finance, upon the recommendation of the National Planning Commission, may make fund transfers or revise authorization, or provide consent to the Provincial Ministry dealing with economic affairs, without adversely affecting the area and objective of the

program.

(11) In the case of local level projects or programs based on special grants and complementary grants, if allocation is required for budget implementation, the National Planning Commission may decide on fund transfers or authorization revision without adversely affecting the area and objective of the program, and may request the Government of Nepal, Ministry of Finance to update the details in the Ministerial Information System.

(12) A new program or project shall be implemented only after the source management of a project or program that is being implemented with source consent from the Government of Nepal, Ministry of Finance, or for which an obligation has been created by such consent, is fully ensured. 8.

Provisions Relating to Accounting, Reporting and Internal Audit: (1) When any project or program included in the budget and program of one level is implemented by another level under this Act, accounts shall be kept as prescribed by the prevailing federal law as an expenditure unit of the level where the fund was appropriated, and internal and final audit shall be conducted as prescribed by the Government of Nepal. (2) The level implementing the project or program pursuant to Sub-section (1) shall prepare and certify the financial statement and send it to the level where the initial appropriation was made. (3) When making a financial transfer for any project or program involving foreign source under the conditional grant from the Government of Nepal to be implemented by a province or local level, the source of the budget and payment method must be specified. The province or local level receiving such foreign source funds must maintain the source accordingly in their annual budget and program and implement it. (4) While mobilizing the assistance pursuant to Sub-section (3), the province or local level shall submit a report to the concerned Ministry of the Government of Nepal, the concerned agency requesting reimbursement, the concerned Office of the Treasury and Comptroller Control, and the Provincial Comptroller Office within the timeframe specified in the format stipulated in the agreement. (5) If the expenditure incurred cannot be reimbursed due to non-submission of the report pursuant to Sub-section (4), an amount equivalent to that shall be deducted from the Financial Equalization Grant to be transferred to the concerned province or local level in the next fiscal year, and the accounts shall be settled. (6) Notwithstanding anything written in the prevailing law, the amount appropriated under recurrent expenditure heading number 26412 and capital expenditure heading number 26422 under this Act shall be subject to internal and final audit as prescribed by the Government of Nepal. 9.

Provisions Relating to Fiscal Discipline: (1) The revenue collected by a province or local level and the amount received as revenue sharing and financial transfer under this Act and prevailing law shall be expended by enacting a law. (2) While enacting a law pursuant to Sub-section (1), it must be enacted ensuring compliance with the following matters: (a) Follow the economic and financial policy of the Government of Nepal, (b) Deposit all income into its own Consolidated Fund, (c) Expend the grant amount only for the purpose for which it was received, (d) Not transfer funds appropriated under capital expenditure to recurrent expenditure, (e) Implement the classification of income and expenditure, accounting, and reporting system as specified by the Economic Procedure and Fiscal Responsibility Act, 2076 and other prevailing federal laws. (3) The Government of Nepal, Ministry of Finance may issue necessary guidelines regarding the expenditure of the appropriated amount under this Act. Such guidelines must be mandatorily followed by all entities or offices. (4) For the entire duration of completing the approved annual project or program under this Act, necessary contracted and temporary staffing, along with a manpower plan, must be approved by the end of Shrawan of the year 2081, after obtaining the consent of the Government of Nepal, Ministry of Finance. (5) Notwithstanding anything written in the prevailing law, in relation to any project involving foreign source, the

Accounting Officer shall coordinate with the donor agency, prepare financial reports, and make such financial statements available on time as per the agreement with the donor agency.

Arrangements must be made to enter the expenditure details including financial statements into the payment system (TSA) of the Office of the Controller General.

(6) The responsibility for monitoring whether the financial statements and expenditure details are entered into the payment system pursuant to Sub-section (5) or not shall lie with the Accounting Officer and the Office of the Controller General.

(7) For the Fiscal Year 2081/82, if the entity mentioned in Column 3 of Schedule-2 is not found to have proposed the budget and program in accordance with Section 9 of the Economic Procedure and Fiscal Responsibility Act, 2076 and Rule 26 of the Economic Procedure and Fiscal Responsibility Rules, 2077, the Government of Nepal, Ministry of Finance may, during the implementation of the budget for the Fiscal Year 2081/82, freeze the release of the budget amount of those respective programs or cause them to be surrendered.

(8) Subject to Sub-sections (2) and (3) of Section 9 of the Economic Procedure and Fiscal Responsibility Act, 2076, the concerned entity or Ministry shall keep secure and updated the details or justifications related to the preliminary budget proposed, so that they can be provided upon request.

(9) While making decisions on matters that create financial obligations, or while submitting proposals to the Government of Nepal, Council of Ministers, that are not included in the approved budget and program, prior consent of the Government of Nepal, Ministry of Finance must be mandatorily obtained.

(10) An employee who approves a project or program, contracts it out, or initiates a procurement process for an amount exceeding the amount appropriated under this Act may be subjected to action by the concerned authority pursuant to Section 57 of the Economic Procedure and Fiscal Responsibility Act, 2076. 10. Not to be Deemed Appropriated Contrary to Law: (1) Matters mentioned in this Act shall be as per this Act, and other matters shall be as per the prevailing law.

(2) To make budget appropriation effective, the Ministry of Finance may, at any time, correct entries in the Ministerial Budget Information System and errors in appropriation, without materially affecting the approved budget and program.

(3) If, while appropriating funds for any service and work under this Act, any procedure required to be completed under the prevailing law has not been completed, such appropriated amount shall not be deemed to have been appropriated contrary to law solely on the ground of non-completion of such procedure. 11.

May Formulate Directives, Procedures, Standards, Guidelines: (1) To make budget appropriation effective and to implement this Act, the Government of Nepal may formulate necessary directives, procedures, standards, or guidelines. (2) If deemed necessary for the implementation of a program that is included in the approved annual program and for which funds have been appropriated, the concerned Ministry of the Government of Nepal may formulate procedures. Such procedure must be placed on the website of the concerned Ministry within seven days of its approval. Provided that, while formulating procedures that create additional financial obligations or obligations of a long-term nature, the consent of the Government of Nepal, Ministry of Finance must be obtained. (3) Directives, procedures, and standards formulated by the Government of Nepal pursuant to Sub-section (1) shall be published in the Nepal Gazette. 12. May Make Necessary Arrangements: (1) If any difficulty arises in implementing this Act, the Government of Nepal may

issue an order and make necessary arrangements. (2) The order issued pursuant to Sub-section (1) shall be published in the Nepal Gazette. Schedule-1 (Relating to Section 2) Amount Charged on the Federal Consolidated Fund as per the Constitution of Nepal (In Rs. Lakhs) S.N. Grant Code Title Name Recurrent Expenditure Financial Arrangements Total 1 101 President 81 81 2 102 Vice-President 68 68 3 103 Provincial Chiefs 310 310 4 202 Federal Parliament 336 336 5 204 Courts 819 819 6 206 Commission for the Investigation of Abuse of Authority 124 124 7 208 Office of the Auditor General 32 32 8 210 Public Service Commission 132 132 9 212 Election Commission 75 75 10 214 National Human Rights Commission 83 83 11 218 Judicial Council 48 48 12 220 National Natural Resources and Fiscal Commission 130 130 13 222 National Women Commission 82 82 14 224 National Dalit Commission 87 87 15 226 National Inclusion Commission 81 81 16 228 Indigenous Nationalities Commission 81 81 17 230 Madhesi Commission 81 81 18 232 Tharu Commission 80 80 19 234 Muslim Commission 85 85 20 502 Ministry of Finance - Internal Loan Repayment 11744 245800 336944 21 503 Ministry of Finance - Foreign Loan Repayment (Multilateral) 78680 407910 486590 22 504 Ministry of Finance - Foreign Loan Repayment (Bilateral) 40836 131556 172392 23 602 Ministry of Finance - Miscellaneous 1201 0 1201 Total 1035268 2997266 4032534 Schedule-2 (Relating to Sections 2 and 3) Amount Appropriated from the Federal Consolidated Fund (In Rs. Lakhs) S.N.

Grant Code Title Name Recurrent Expenditure Capital Expenditure Financial Arrangements Total 1 101 President 1299 133 0 1432 2 102 Vice-President 436 20 0 456 3 103 Provincial Chiefs 1810 64 0 1874 4 202 Federal Parliament 13803 934 0 14737 5 204 Courts 57386 23002 0 80388 6 206 Commission for the Investigation of Abuse of Authority 16447 1289 0 17736 7 208 Office of the Auditor General 6448 900 0 7348 8 210 Public Service Commission 8655 150 0 8805 9 212 Election Commission 5113 1010 0 6123 10 214 National Human Rights Commission 2540 30 0 2570 11 218 Judicial Council 490 25 0 515 12 220 National Natural Resources and Fiscal Commission 821 19 0 840 13 222 National Women Commission 718 10 0 728 14 224 National Dalit Commission 288 13 0 301 15 226 National Inclusion Commission 316 15 0 331 16 228 Indigenous Nationalities Commission 296 10 0 306 17 230 Madhesi Commission 307 10 0 317 18 232 Tharu Commission 321 10 0 331 19 234 Muslim Commission 314 10 0 324 20 301 Office of the Prime Minister and Council of Ministers 50339 5578 0 55917 21 305 Ministry of Finance 292252 137899 0 430151 22 307 Ministry of Industry, Commerce and Supplies 59352 21053 0 80405 23 308 Ministry of Energy, Water Resources and Irrigation 42592 361721 0 404313 24 311 Ministry of Law, Justice and Parliamentary Affairs 5375 78 0 5453 25 312 Ministry of Agriculture and Livestock Development 465028 37627 0 502655 26 313 Ministry of Water Supply 9466 153724 0 163190 27 314 Ministry of Home Affairs 1882245 106462 0 1988707 28 325 Ministry of Culture, Tourism and Civil Aviation 24895 27454 0 52349 29 326 Ministry of Foreign Affairs 59372 8370 0 67742 30 329 Ministry of Forests and Environment 85615 34132 0 119747 31 336 Ministry of Land Management, Cooperatives and Poverty Alleviation 59631 6677 0 66308 32 337 Ministry of Physical Infrastructure and Transport 74851 1430470 0 1505321 33 340 Ministry of Women, Children and Senior Citizens 6969 6906 0 13075 34 343 Ministry of Youth and Sports 21854 13194 0 35048 35 345 Ministry of Defence 539393 59321 0 598714 36 347 Ministry of Urban Development 48547 631766 0 680313 37 350 Ministry of Education, Science and Technology 529268 47695 0 576963 38 358 Ministry of Communication and Information Technology 56590 16939 0 73529 39 365 Ministry of Federal Affairs and General Administration 63587 1269 0 64856 40 370 Ministry of Health and Population 337707 123716 0 461423 41 371 Ministry of Labour, Employment and Social Security 15203 3294 0 18497 42 391 National Planning Commission 1625 50 0 1675 43 501 Ministry of Finance - Financial Arrangements 0 0 675579 675579 44 601 Ministry of Finance - Employee Facilities and Retirement Facilities 935733 0 0 935733 45 602 Ministry of Finance - Miscellaneous 497011 261291 0 758302 46 701 Province 964508 0 0 964508 47 801 Local Level 3124261 0 0 3124261 Total 10371377 3523540 675579 14650496